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REFINING OUR EMPIRICAL PERSPECTIVES ON ENTREPRENEURSHIP RESEARCH

The Other Side of Paradise: Examining the Dark Side of Entrepreneurship

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The Other Side of Paradise: Examining the Dark Side of Entrepreneurship

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KEYWORDS: entrepreneurial personality, family life, public policy, corruption

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This is perhaps the golden age of entrepreneurship research. Governments, foundations, universities and specialized research centers have eagerly and actively supported this research in the belief that entrepreneurship has an important role in promoting economic, technological and social progress (Acs and Audretsch, 1990; Klapper and Delgado, 2007; Naude, 2010; Zahra et al., 2011). Yet, a closer look at the literature in the US and elsewhere suggests that researchers have accepted this role without probing the human and societal costs associated entrepreneurship. This blind spot in the literature raises questions about the impact of entrepreneurship on society. In this note, we address this blind spot, drawing attention to the need to systematically study the social consequences of entrepreneurship, both positive and negative.

The Dark Side of Entrepreneurship Revisited

Over the years, several researchers have noted the dark side of entrepreneurship (Baumol, 1990; Hayward, Shepherd and Griffin, 2006; Kets de Vries, 1985), but the bulk of the literature has failed to consider the full gamut of the effects of these entrepreneurial activities on society, families and the entrepreneurs themselves (Osbourne, 1991; Winslow and Solomon, 1987). Some of these entrepreneurial activities are formal and carried out within the confines of formal institutions. Other entrepreneurial activities are informal and performed outside these institutions (Webb, Tihanyi, Ireland and Sirmon, 2009). Some of the formal and informal entrepreneurial activities are illegal in nature (Anokhin and Schulze, 2008**).** By accounting for the side effects of entrepreneurship, we can offer a realistic view of its varied contributions. Like other economic activities, entrepreneurship has serious costs and these should be systematically integrated into the study and policy evaluations of entrepreneurial activities. We believe this to be an important arena for future scholarship.

Entrepreneurship capitalizes on the creative destruction that accompanies or follows gales of technological change (Schumpeter, 1942). This change can be devastating to countries, regions, communities and families. Indeed, Albert Einstein once said "Technological change is like an axe in the hands of a pathological criminal." Countries have lost their international standing because of technological changes that they failed to foresee or were inept in accommodating. Unemployment often follows such a major upheaval. Human dislocation and displacement also often follows these changes with masses of the unemployed seeking help from states and fellow citizens. Even when radical changes are successfully introduced, similar social problems arise. Successive innovations that give birth to entrepreneurial activities often leave existing institutions as well as individual skills outdated and obsolete. While this might be a worthwhile and justified investment in rejuvenating national economies, effects on individuals as

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well their communities and families can be devastating. Entrepreneurs, of course, seldom bear the full social costs associated with these changes (Baumol, 1990). On occasion, this has given rise to welfare states, creation of not-for-profit companies and the proliferation of social ventures that seek to ameliorate persistent social problems (Zahra et al., 2009). These groups, not entrepreneurs, often bear some of the costs associated with dysfunctional entrepreneurial activities.

Entrepreneurs often bring new symbols of wealth to the culture, inviting imitation by the masses. Given their high standing in the community and the wealth they amass, some contribute to growing materialism and conspicuous consumption. Given the disparity of wealth that now prevails in several countries and regions (e.g., US, Russia, Latin America, Africa, among others), these growing economic inequities can disrupt the social order and breed class warfare and resentments. Over time, this inequality can undermine the stability of national governments and institutions, promote social and political strife, and may even lead to the fragmentation of national identity (Morck and Yeung, 2003, 2004). These activities could also encourage corruption that stifles entrepreneurship while ensuring the persistence of archaic institutions that cannot bring about social change or justice.

Some entrepreneurs have used their wealth to undermine competition, pre-empting entry of new domestic and foreign firms while solidifying their monopolistic market positions by retaining close ties to the political elite. This makes successful adaptation and change difficult to achieve. Other entrepreneurs have used their resources to stifle the potentially disruptive innovations introduced by start-ups, thus averting competition and delaying technological progress in their industries and even societies (Morck and Yeung, 2003, 2004). Others have used their wealth to unduly influence their national and local governments to enact and sustain policies that protect their own interests. Many contribute to the election (or retention) of politicians who protect their own interests and perpetuate their control over key economic activities in their societies (Morck and Yeung, 2003, 2004). In some emerging and lesser developed economies, entrepreneurs have also used bribes to buy political influence in enacting policies that favor their companies, perpetuating corruption as a means of doing business. Some entrepreneurs also engage in activities that are transgressive (Baumol, 1990).

Effect on Family and Personal Life

The dark side of entrepreneurship often extends to the family, the key to economic control and wealth in many societies (Morck and Yeung, 2003). Entrepreneurs' persistence and hard work, which are admirable qualities, could

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create tensions, rigidity, and unwillingness to cooperate with members of the family (Beaver and Jennings, 2005). In some family firms, these tensions may induce fatal sibling rivalries that are not easily managed. Tensions multiply as entrepreneurs attempt to manage their families' day-to-day involvement in the business and negotiate differences of opinions that might exist across the family's members and generations. Obsession with one's work and making the company successful leaves little time for family. Intense entrepreneurial personalities could also challenge marriages, frequently leading to their demise (Kets de Vries, 1985).

Failure of entrepreneurial businesses may also exacerbate the effects on personal and family life, particularly where homes have been used as collateral for business loans. The loss of something with which the entrepreneur has been so closely involved may engender feelings of grief and depression (Shepherd, 2003) and impede learning from experience that could lead to benefits in future entrepreneurial activities. These effects may also have a knock-on impact upon children who may be discouraged from becoming entrepreneurs in future. Failure of entrepreneurial businesses also has important consequences for employees and their families beyond the immediate effects of redundancy. Employees too may have felt more highly committed to the success of the business than they would in a large corporation and thus feel an acute loss at the failure of the business.

There is very little systematic research on how being an entrepreneur influences one's life (Beaver and Jennings, 2005; Hayward, Shepherd and Griffin, 2006). One of the very few such studies found that, compared to senior managers, entrepreneurs have reported higher levels of social isolation (e.g., fewer friends), insecurity about their jobs and future, incidence of conflicts, accidents, illnesses, stress levels, fatigue and exhaustion, and burnout (Osbourne, 1991). Being an entrepreneur is clearly a demanding, challenging and taxing job that can take its toll on a person and his/her family and community (Winslow and Solomon, 1987).

Future Research and Policy Implications

With public policy makers around the globe eager to promote new firm creation, we need to consider the costs we have just mentioned when evaluating the merits and shortcomings of entrepreneurship. We need to recognize the potential tensions between policies seeking to promote work-life balance and those aimed at promoting entrepreneurship. Creating programs that help entrepreneurs to recognize and address these concerns would be beneficial. Similarly, educational programs at universities and elsewhere are needed to go beyond the romanticism often attached to entrepreneurship by turning rosy spectacles into clear ones. Such programs may help some potential entrepreneurs recognize that entrepreneurship is not for them but without undermining the importance of sustaining an

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entrepreneurial culture. Entrepreneurs are the heroes of the free market system; we need to help them avoid being tragic heroes.

Here, future research could pay a great deal of attention to the contradictions in the entrepreneurial personality and how these differ from non-entrepreneurs. For example, when does persistence become rigidity that stifles the building and sustaining of nurturing relationship? When does entrepreneurial passion turn into a dysfunctional obsession? When does the entrepreneur's blind commitment to a particular course of action lead to a dysfunctional failure to build complementary team skills and to heed different perspectives? When does the entrepreneur's emotional commitment to sustaining the business become irrational in the face of insurmountable obstacles? When does the entrepreneur's yearning for independence lead to social isolation? When does the entrepreneur's response to (perceived) failure impede learning and lead to a lack of re-engagement in entrepreneurial activities? Finally, when does the entrepreneur's need for dominance and achievement lead to engaging in fraud and corruption that undermines the well-being of the community and society?

Entrepreneurs are "rule breakers" in the sense that they do not live by established tradition, but this does not mean breaking the law. Clearly, as a discipline, we stand to gain greater clarity and realism---if not wisdom—by considering these and similar issues. This research could enrich the field by also restoring the entrepreneur as the central figure in our inquiry.

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